Case Study

Gokul Steel Ltd is a large and creditworthy company that manufactures steel for the Indian market. It now wants to cater the Asian market and decides to invest in new hi-tech machines. Since the investment is large, it requires long term finance. It decides to raise funds by issuing equity shares. The issue of equity shares involves huge floatation cost. To meet the expenses of floatation cost, the company decides to tap money market.

a) Name and explain the money-market instrument the company can use for the above purpose.

b) What is the duration for which the company can get funds through the instrument?

c) State any other purpose for which this instrument can be used.

For Own Thinking

1) Working of chit funds

2) Finance for bonded labour

For Future Learning

1) Export finance for small entrepreneurs

2) Financing software companies run by young graduates

Exercise

I. Choose the Correct Answer

1. What is defined as the provision of money at the time when it is required?

a. finance

b. bank

c. cash management

d. none of these

2. Internal sources of capital are those that are _____

a generated through outsiders such as suppliers

b. generated through loans from commercial banks

c. generated through issue of shares

d. generated within the business

3. Debenture holders are entitled to a fixed rate of _____

a. Dividend

b. Profits

c. Interest

d. Ratios

4. Public deposits are the deposits which are raised directly from _____

a. The public

b. The directors

c. The auditors

d. The owners

5. Equity shareholders are the _____ of a company

a. Creditors

b. Owners

c. Debtors

d. Employees

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